March 1989 and more than five thousand villages were sanitised. Reports in intelligence files suggest that a huge cache of weapons was seized and hundreds of militants were arrested in the month-long operation that severely damaged the terror capability of outfits like the Babbar Khalsa, Bhindranwale Tiger Force and Khalistan Liberation Organisation. By June 1989, the militants were overwhelmed, all thanks to Mathur's spy operation from the USA.

The then junior home minister, P. Chidambaram, made a statement in the Lok Sabha implicating Pakistan for supporting the militancy in Punjab. Chidamabaram was responding to a debate on whether Afghanistan jihadis and Punjab militant groups had forged an alliance to carry out terror strikes in India. He believed that their contact was through the ISI, and not direct. Perhaps quoting intelligence reports, the minister said that Punjab extremists in the UK and the USA had established contacts with Afghan jihadis in 1985-86 purely to procure arms and money. One such report had indicated that Sikh militants in 1987 had planned to buy Stinger missiles from the Afghan rebels. Chidambaram also disclosed that Jagjit Singh Chohan had held a meeting with Afghan terror leaders in London in early 1989.

In a report in July 1989, based on information provided by Chatar, Mathur warned his top bosses in Delhi about the financial support extended to a few Panthic Committees from the USA and Canada. The leaders of the committees were operating from Pakistan and safe havens in Nepal. His report specifically mentioned Dr Sohan Singh, a surgeon turned Khalistan leader. Mathur said Sohan Singh had been rattled by the reverses in the last few months and was desperately trying to recruit more militants to keep the secessionist movement